Arm Holdings plc — IPO Valuation & Strategy Analysis

Executive Summary — Sam Felix — August 2026

Thesis Question

Was Arm fairly valued at its September 2023 IPO, and did subsequent growth in royalties, licensing, Armv9, data centers, and AI justify the premium valuation?

Key Findings

1. Arm priced at ~18.7x FY2023 EV/Revenue, about 49% above the six-peer median of 12.6x.

2. The closest comp-based range is ~$43–$45 per ADS, versus the $51 IPO price — an 11–15% premium.

3. The premium was aggressive but defensible given Arm's recurring royalties, near-100% gross margins, ecosystem dominance, and growth optionality.

4. FY2023–FY2026 revenue CAGR was ~22.5%; license revenue CAGR ~32.0%; royalty revenue CAGR ~16.0%; net income CAGR ~19.9%.

5. First-day close was $63.59 (+24.7%), showing substantial aftermarket demand.

6. **Since IPO, Arm's total return of 5.34x decomposes into 1.67x from EPS growth and 3.20x from P/E expansion (confirmed independently by a matching 3.11x EV/Revenue expansion) — multiple re-rating contributed roughly twice as much to the stock's return as underlying earnings growth.**

7. Q1 FY2027 still showed strong AI/data-center momentum, but valuation sensitivity and smartphone royalty risk remain important.

Recommendation

Arm was premium-priced rather than simply overvalued at IPO. A comp-based fair value range of roughly $43–$45 suggests SoftBank priced the offering aggressively, but the transaction still left enough upside for a successful debut. In hindsight, that premium was conservative: the market has since re-rated Arm to a P/E of ~320x and EV/Revenue of ~58x, both roughly 3.1–3.2x above IPO levels. The long-term case now depends less on Arm simply hitting its growth targets and more on the market continuing to pay an even richer multiple than IPO investors did — which means today's shares carry meaningfully more re-rating risk than the IPO price itself.

Key Risks

SoftBank control; Arm China; RISC-V; smartphone concentration; customer bargaining power; valuation compression; execution risk as Arm moves further into finished data-center CPU products.

Methodology

IPO-date CCA using six peers (Synopsys, Cadence, NVIDIA, AMD, Qualcomm, Broadcom), historical financial analysis, a valuation-evolution bridge comparing IPO-date and current multiples, post-IPO market review, and strategic risk assessment. Primary sources include Arm/SEC filings, comparable-company SEC filings, Arm Investor Relations, and Reuters.